

 Lehman Brothers: N-D-C Technical Dashboard

Phase Overview

Interventions

Hub

Home

CHAIN BALANCE (Π)

49.9%

8-phase average: Failure zone

AVERAGE N STATE

79

Severely degraded institutional health

BOTTLENECK PHASES

6

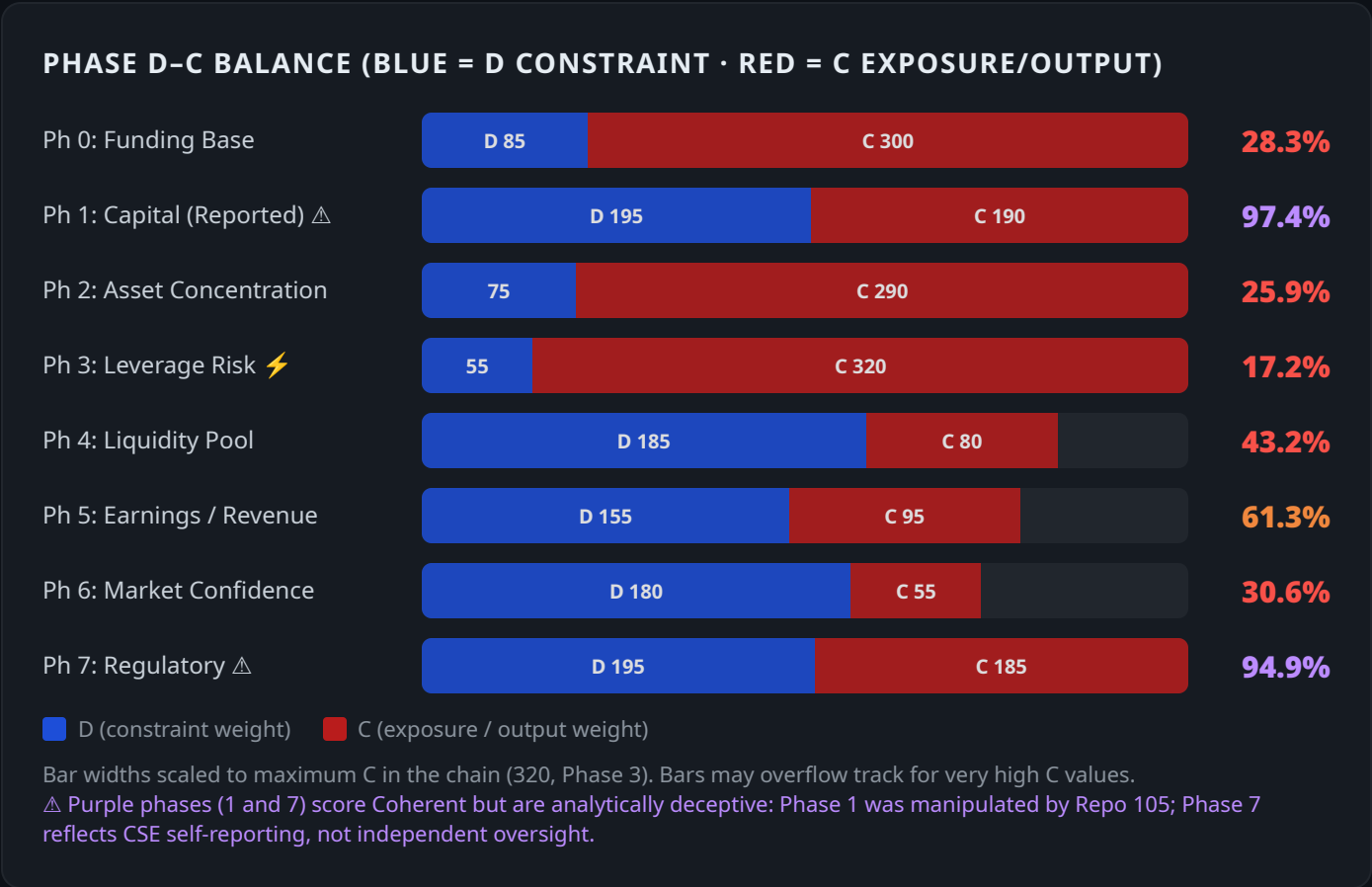
Phases 0, 2, 3, 4, 5, 6 below 61.8%

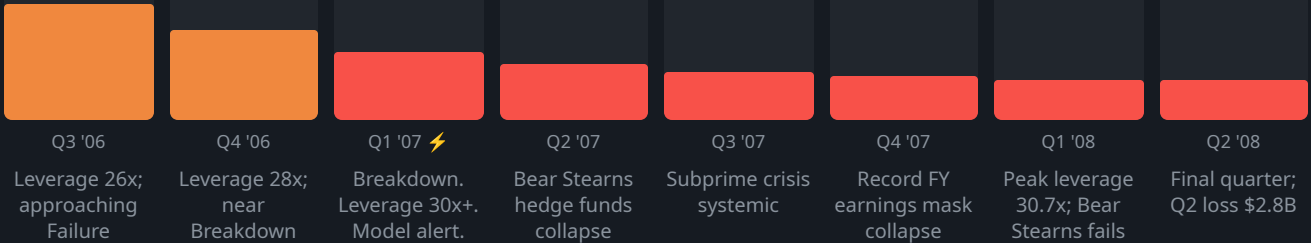
DECEPTIVE COHERENT PHASES

2

Phases 1 and 7: false safety signal

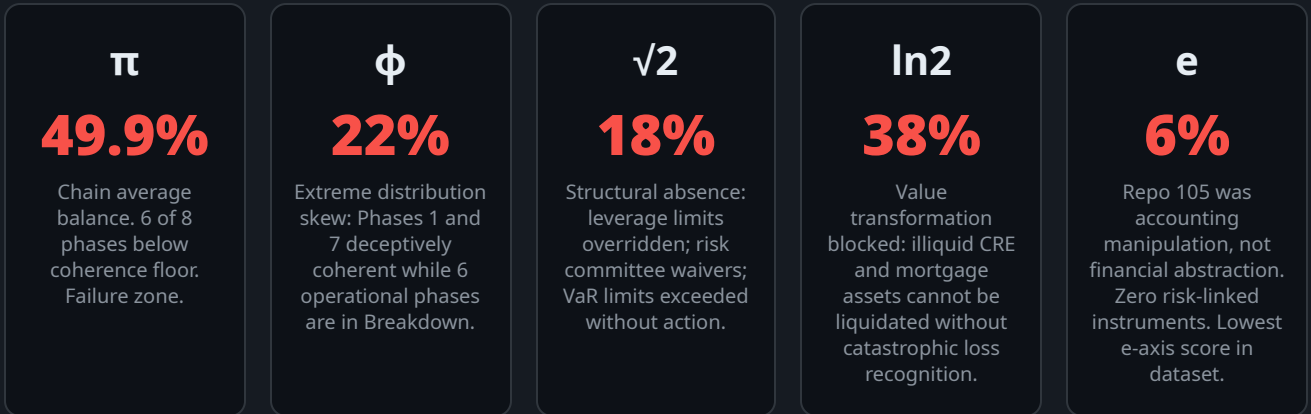
Primary failure origin: Phase 3 (Leverage and Risk Management): 17.2% balance. Gross leverage reached 30.7x in Q1 2008, 23% above stated 25x internal target. Risk committee waivers granted routinely. Phase 3 entered Breakdown in Q1 2007 and remained there for 8 consecutive quarters. Simultaneously, Phase 0 (Funding Base) was in Breakdown throughout 2007-2008: \$188B in overnight repo requiring daily rollover with no effective maturity constraint.





Breakdown threshold: 38.2% ($1 - \phi^{-1}$). Phase 3 crossed this threshold in Q1 2007 and remained below it for all eight subsequent quarters through failure. Bankruptcy filed September 15, 2008 (Q3 2008). Detection window: 20 months. Compare to SVB: Phase 3 was at 21.4% after 6 quarters in Breakdown. Lehman was at 17.2% after 8 quarters: deeper and longer.

FIVE-MODEL COHERENCE: LEHMAN BROTHERS Q2 2008



All five coherence axes score below 50%. This is the only case in this project dataset where every axis simultaneously fails. SVB comparison: π =61.3%, ϕ =38%, $\sqrt{2}$ =30%, $\ln 2$ =45%, e =12%. Lehman scores lower on every axis.

DATA SOURCES

Lehman Brothers 10-K filings (2005, 2006, 2007): SEC EDGAR. Annual reports providing leverage history, portfolio composition, risk disclosures, and executive compensation data.

Lehman Brothers 10-Q Q2 2008: SEC EDGAR. Final quarterly report before failure. Repo liabilities, write-downs, capital ratios, and liquidity pool disclosures.

Valukas Report: Report of Anton R. Valukas, Examiner (March 2010). US Bankruptcy Court SDNY. Definitive public analysis of Repo 105, leverage history, risk governance failures, and director/officer conduct. Primary source for Phase 1, 3, and 4 analysis.

FCIC Final Report: Financial Crisis Inquiry Commission (January 2011). Chapter 18 covers Lehman specifically. Chapter 5 covers broker-dealer leverage. Testimony transcripts from Dick Fuld, Erin Callan.

Federal Reserve Bank of New York: Repo market stress analysis, primary dealer funding data, emergency lending records (PDCF, TSLF) showing Lehman's funding dependency.

S&P / Moody's rating action histories: Contemporaneous rating records documenting A rating through September 9, 2008 and the post-failure downgrade sequence.

